Applied Corporate Finance

Week #3B – Ferrari: The 2015 IPO

Class-Case Discussion

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Plan of Attack

- **Background**
- **Discussion/Proposed Solution to the Case**
- **What Happened?**

Background

- The case takes place in 2015

- Sergio Marchionne, chairman of Ferrari and CEO of its parent company FCA (Fiat and Chrysler), has a new strategy for Ferrari based on **expanding production**, following a long-standing company's tradition of **limited-production to maintain an exclusive brand image.**

- Ferrari is going to be **listed in NYSE**, by selling 10% of its shares (17.750 million shares) in an IPO.

- Ferrari had a strong demand for its shares and FCA set an initial price range between $48 to $52. Tomorrow is the IPO and Marchionne – in negotiation with the leading bank UBS - has to set the price Ferrari shares would be offered to investors that evening.

Background

Three main issues for discussion are:

1. What are the financial implications of Ferrari's current strategy?
2. What is Ferrari worth in euros? Based in current market-multiples and DCF valuations.
3. At what price in USD should Ferrari's shares be sold in the IPO?

Enzo Ferrari

- Ferrari's history (the business) is inextricably linked to **Enzo Ferrari (the man).**
- Enzo Ferrari was born in 1998, in Modena, Italy, from a lower-middle class family.
- In 1920 Enzo Ferrari joined the racing department of Alfa Romeo as a driver.
- In 1929 Ferrari founded his own racing team – Scuderia Ferrari. This team was very successful, thanks to excellent cars and talented drivers, and frequently acted as a racing division of Alfa Romeo.

Enzo Ferrari (cont.)

- Alfa Romeo acquired 80% of Scuderia Ferrari in 1937 and returned the management of the racing program to company headquarters.

- Enzo Ferrari left Alfa Romeo in 1939.

- After the second WW Enzo Ferrari decided to start making cars bearing his name and **founded Ferrari S.p.A. in 1947**. His first Ferrari race car won a high-profile race in Turin in 1948.

- During the 50s and 60s Enzo Ferrari produced and sold nonracing road cars, and used the profits of this business to finance the competition in Grand Priz and Formula 1 races.

Enzo Ferrari (cont.)

- Fiat purchased 50% of Ferrari's shares in 1969 and took control of all road car production, Enzo Ferrari retained the ownership of the remaining 50% and continued to manage the racing operation.

- Fiat modernized the factory and updated manufacturing process, by 1980 the road car production reached 2,000, more than double before Fiat's involvement.

- At the time of Enzo Ferrari's death in 1988, Fiat's stake in Ferrari was 90%, with the remaining 10% held by the Ferrari family.

Ferrari – the Car Business

- After Enzo Ferrari's death the company entered a period of decline. In 1992, Fiat hired **Luca Montezemolo**, a former assistant of Enzo Ferrari, as **chairman of Ferrari**.

- Montezeomolo increased the product line from two outdated models to nine new ones and a commitment to engineering excellence was instilled.

- Montezeomolo **quality and branding strategy** involved **holding production volumes bellow demand in order to induce a perception of exclusivity.**
  - In 2014 Ferrari sold just 7,225 cars compared to nearly 40,000 cars by FCA's sister company: Maserati.

Ferrari – the Car Business (cont.)

- Montezemolo's strategy created tension in FCA, and he left Ferrari in September 2014.

- After Montezemolo left, **Sergio Marchionne** (CEO of FCA) stepped in as chairman and immediately **pushed for higher volume, aiming to produce 9,000 units by 2019.**

- Marchionne stated that this increase was justified by **growing demand in emerging markets**, by maintaining **restricted volumes in Europe and America**, he believed Ferrari could **maintain its levels of perceived exclusivity and preserve the value of the brand.**

- In 2015 Ferrari brand power was such that the **average car selling price exceeded $267,000**, and Ferrari had operating margins far greater than auto-manufacturing industry average

Ferrari – Other Businesses

- In addition to its revenues from car, engine and parts sales, Ferrari maintained a steady steam of income, about **15% of total sales, from its sponsorship and licensing activitie**s:
  - Sponsorship agreements from **Formula 1 racing team**.
  - **Licensed its brand power and logo** to retailers of luxury and lifestyle goods, such as watches, sportswear, perfume and videogames.
  - Launched its first **retail store** in 2002, and by 2015, the company sold Ferrari-branded merchandise through 32 franchised or company-owned Ferrari stores and on its website.
  - In 2010, the first **Ferrari theme park**, "Ferrari World", opened **in Abu Dhabi** (it is home of the fastest roller coaster – Formula Rossa).

- Ferrari management believe that there were ongoing opportunities to **expand Ferrari's brand presence further.**

FCA

- FCA resulted from the merger of Fiat, the leading car manufacturer in Italy, and Chrysler, the third-larger US auto company.

- Fiat and Chrysler partially merged in 2009, over the next few years, Fiat bought additional stakes of Chrysler, before assuming full ownership in early 2014.

- **FCA was in 2015 the world's seventh-larger automaker.**

- FCA designed, manufactured, distributed and sold vehicles for both the **mass market** (Abarth, Alfa Romeo, Chrysler, Dodge, Fiat, Fiat Professional, Jeep, Lancia and Ram brands) and the **luxury market** (Maserati and Ferrari brands).

FCA (cont.)

- **FCA's luxury brand division** provided **5% of the revenues and 21% of 2014's EBITDA.**

- In 2014 Marchionne announced (after Montezemolo left) a five-year business plan (2014-2018).

- The plan sought to strengthening, differentiating and globalizing FCA's portfolio of brands and standardizing production architecture for multiple brands to increase productivity.

- After the plan, Marchionne announced the intended separation of Ferrari from FCA:
  - FCA would sell 17,175 million shares in an IPO, with the proceeds going to FCA.
  - Several months after the IPO, FCA would spin off the 80% of Ferrari stock it held. The spin off intended to distribute FCA holdings in Ferrari to the FCA shareholders as a stock dividend.

FCA (cont.)

The separation of Ferrari from FCA has several purposes:

- **Generate cash payments to FCA** throught the sales of the IPO shares and the transfer of some debt of FCA to Ferrari – Ferrari's debt was expected to be € 2.3 billion after the deal.
- **Promote and extend the value of Ferrari's brand** among the world's premier luxury lifestyle companies.
- Allow Ferrari direct access to **sources of equity and debt on favorable terms**.
- **Attract American investors** by listing on NYSE – historically one of the most important markets.
- **Attract and reward technical and management talent** by allowing them to have direct ownership in Ferrari.
- **Unlock "hidden value"** that shareholders were not attributing to FCA's share value under the consolidated structure. Marchionne believed that booth Ferrari and the rest of FCA group would trade for much more than that if the companies traded independently.

Implications of Ferrari's current strategy

- Marchionne intends to increase Ferrari production to 9,000 units per year.

- Ferrari is increasing its growth into nonautomotive brand licensing business.
  - In 2014, one third of Ferrari operating profits were originated in nonautomotive operations.

- How can this strategy affect Ferrari Brand?
  - Will this reduce Ferrari's margins in the future (less exclusive car)?
  - Will it reduce Ferrari Brand value?

Implications of Ferrari's current strategy (cont.)

- Marchionne believed that booth Ferrari and the rest of FCA group would trade for much more than that if the companies traded independently
  - What are the differences between FCA group and Ferrari, that could justify this?

- Is Ferrari really a car manufacturer or its is increasingly a brand?
  - Is Ferrari comparable to auto manufacturers or to a luxury brand?

What is Ferrari worth in euros?

Multiples valuation

- What are Ferrari comparable companies?
  - Companies that have a similar expected growth trajectory.
  - A similar profit margin.

- **Factors that influence multiples:**
  - Firms with **expected high growth** in profits should have higher multiples.
  - Firms in industries with high competition are more likely to experience more difficulties in obtaining abnormal profits than firms in less competitive industries (lower multiples).
  - Firms with **riskier cash flows** trade at lower multiples than those who do not.

Multiples valuation (cont.)

- Some of the potential comparable companies **have high levels of cash**. Should we correct cash in multiples?
  - Operating cash is part of the operation value of the firm.
  - Excess cash should be added to the operating value of the firm .
  - The excess cash should be subtracted from the total firm value when obtaining the multiple.

- **Usually we do not know the operating cash of the firms. How can we correct cash?**
  - Obtain multiples without cash correction.
  - Obtain multiples correcting total value with total cash (the multiples will be lower).
  - **The true multiple is surely between these two multiples.**

Multiples valuation (cont.)

- What are the appropriate number of shares in establishing the share price?
  - Pre-money shares: divide the equity value before the IPO by the number of pre-money shares.
  - Post-money shares: divide the equity value before the IPO plus the expected proceeds of the IPO, by the number of post-money shares.
  - In this case, Ferrari does .not receive any proceeds from the IPO (they are to FCA), consequently we use the post-money shares (189 million, p.8) to calculate the value per share.

Multiples valuation (cont.)

	EBITDA Margin	Projected Growth Rate	Ent.Value/ EBITDA	(Ent.Value - Cash)/ EBITDA
Auto Manufacturers				
BMW	20,4%	6,1%	8,2	7,7
Daimler	14,3%	6,9%	8,9	8,1
Fiat Chrysler	8,6%	4,6%	6,3	3,5
Ford Motor	7,9%	10,1%	17,7	14,7
General Motors	5,7%	4,5%	12,8	9,1
Honda Motor	13,2%	6,9%	8,1	7,2
Hyundai Motor	11,3%	6,8%	10,3	7,6
Kia Motors	8,3%	1,6%	7,3	5,4
Nissan Motor	13,3%	6,2%	8,4	7,8
Peugeot	6,2%	7,0%	10,3	7,1
Renault	9,7%	8,9%	15,0	11,4
Tata Motors	16,7%	5,5%	4,9	3,6
Tesla Motors	0,4%	94,9%	3298,3	3114,0
Toyota Motor	15,4%	3,2%	11,0	9,7
Volkswagen	11,4%	3,5%	8,3	6,8
Median:	**11,3%**	**6,2%**	**8,9**	**7,7**
Luxury Brands				
Burberry Group	23,1%	2,6%	10,4	9,3
Cie Financiere Richemont	27,9%	3,1%	14,5	11,6
Hermes International	35,9%	6,8%	23,9	22,9
LVMH Moet Hennessy	22,9%	2,1%	12,8	12,1
Prada	26,9%	1,9%	9,7	9,0
Tiffany & Co.	25,2%	4,7%	12,4	11,6
Median:	**26,0%**	**2,9%**	**12,6**	**11,6**

Multiples valuation (cont.)

- Ferrari has an **EBITDA margin of 25%, more in line with luxury companies.**
- Ferrari has a projected **growth rate of about 8%, more in line with automotive companies** (with the exception of Hermés).
- Ferrari has **low risk cash flows, more in line with luxury companies.**
- Ferrari multiples are probably **closer to a luxury company**, than to an auto manufacturer.
- FCA is stripping excess cash from Ferrari prior to the IPO, so **we should correct excess cash in the multiples.**

Multiples valuation (cont.)

Ferrari 2014 EBITDA (Ex.2 and 8)	687
Debt (p.4)	2 300
Shares (p.8)	189
USD/EUR Exchange rate (Ex.9)	1,1375

	EBITDA Multiple (*)	Implied Ent. Value (€)	Implied Share Price (EUR)	Implied Share Price (USD)
Trading multiples				
Median of all auto comps	8,3	5 694	17,96	20,43
Average of selected auto comps (**)	10,4	7 148	25,65	29,18
Median of all luxuary comps	12,1	8 287	31,68	36,03
Average of selected luxuary comps (***)	17,7	12 145	52,09	59,25
EBITDA 14x	14,0	9 613	38,69	44,01
Transaction multiples				
Aston Martin (p.8)	9,9	6 798	23,80	27,07
Fitbit (p.8)	21,0	14 419	64,12	72,94
Poste Italiane (p.8)	8,0	5 493	16,89	19,22

(*) Average between the two EBITDA multiples.

(**) BMW, Daimler, Ford, Honda, Hyundai and Renault.

(***) Hermés and Tiffany.

Multiples valuation (cont.)

Pros of multiples valuation:

- **Convenient and simple**
- Reflects what the **market is willing to pay** for a comparable firm
- Helpful when the firm is not in steady state and **future is very uncertain**

Cons of multiples valuation

- Ignores the need to make explicit assumptions regarding **long-term profitability and growth**
- **Subject to market misevaluation:** a relative (rather than absolute) valuation measure
- Subject to **accounting distortions**
- May have **difficulty in identifying comparable firms**
- Meaningless if financial numbers (e.g., EBITDA) are negative
- Financial numbers in denominator may be more cyclical than valuation in numerator

DCF valuation

Ferrari Forecast	2014	2015	2016	2017	2018	2019
Assumptions						
Growth in Cars Shipped	3,6%	7,0%	5,0%	4,0%	4,0%	3,0%
Growth in Revenue/Car		5,0%	5,0%	5,0%	5,0%	5,0%
Growth in Engine Revenue		3,0%	3,0%	3,0%	3,0%	3,0%
Growth in Other Revenue		3,0%	6,0%	6,0%	6,0%	6,0%
Operating Margin - Cars	12,5%	13,0%	13,5%	14,0%	14,0%	14,0%
Operating Margin - Engines	9,1%	10,0%	10,0%	10,0%	10,0%	10,0%
Operating Margin - All Other Rev	24,9%	25,0%	27,0%	28,0%	30,0%	30,0%
Net Working Capital Turnover	1,9	2,0	2,1	2,2	2,2	2,2
Net Fixed Asset Turnover	3,2	3,2	3,3	3,5	3,7	3,8
Deprec. & Amort./PP&E	34%	34%	34%	34%	34%	34%

DCF valuation (cont.)

Ferrari Forecast	2014	2015	2016	2017	2018	2019
Financial Forecast						
Car Shipments (000s)	7,26	7,76	8,15	8,48	8,82	9,08
Avg Revenue per Car (Euro 000s)	268	281	295	310	326	342
Car Revenue	1 944	2 184	2 408	2 629	2 871	3 105
Engine Revenue	311	320	330	340	350	361
All Other Revenue	507	523	554	587	623	660
Total Revenue	2 762	3 027	3 292	3 556	3 844	4 126
Operating Profit - Cars	243	284	325	368	402	435
Operating Profit - Engines	28	32	33	34	35	36
Operating Profit - All Other Reve	126	131	150	164	187	198
Total Operating Profit	398	447	508	567	624	669
Net Working Capital	1 425	1 513	1 568	1 617	1 747	1 875
Net PP&E and Int. Assets	851	932	998	1 016	1 039	1 086
Deprec. & Amort.	289	317	339	345	353	369

DCF valuation (cont.)

- **Growth rate on steady-state:**
  - Inflation in Europe close to 0%.
  - 10-year government bond of 1.7%.
  - We assume a growth rate of 2%.

- **Assumptions on 2020 steady-state free cash flow**
  - Operating profit grows 2% in 2020, to € 682 million.
  - Net working capital and Net PP&E and Intangible Assets both grow 2% in 2020, to respectively, € 1,913 and € 1,107 million.
  - CAPEX is slightly higher than depreciations steady-state free cash flow, which means that Net PP&E and Intangible Assets will increase every year after 2020.

DCF valuation (cont.)

	2014	2015	2016	2017	2018	2019	2020
Valuation							
Tax Rate (p.8)	38%						
Discount rate (p.8)	5%						
Long term growth rate	2,00%						
USD/EUR Exchange rate (Ex.9)	1,1375						
Total Operating Profit	398	447	508	567	624	669	682
Taxes	151	170	193	215	237	254	259
NOPAT	247	277	315	351	387	415	423
+ Deprec. & Amort.		317	339	345	353	369	376
- CAPEX		398	404	364	376	416	398
- Change in NWC		88	54	49	131	128	38
Free Cash Flow		**107**	**195**	**284**	**233**	**240**	**364**
Discount factor:		1,05	1,10	1,16	1,22	1,28	1,34
PV of Planning Period:	904						
PV of Terminal Value:	9 499						
Implied Ent Value:	**10 402**						
Debt (p.4)	2 300						
Implied Equity Value:	**8 102**						
Shares (Post-money)	189						
Implied Value per shares (€)	42,87						
Implied Value per shares ($)	**48,76**						

DCF valuation (cont.)

Comments on Ferrari's forecast and valuation:

- Ferrari will simultaneously **increase** the **number of cars sold** and increase its **operating car margins** from 12.5% to 14,0%.
- Similarly, **brand-licensing revenues increase** every year and its **operating margins increase** from 25% to 30%.
- The **discount rate is just 5%**, we can easily wonder if such a rate is sustainable in perpetuity.
- Such figures require a **strong belief in the strength of the Ferrari brand**.

DCF valuation (cont.)

Comments on Ferrari's forecast and valuation – The value of Ferrari's brand:

- **Is Ferrari's brand value included in the valuations?**

- **Direct value Ferrari's brand**: discount the FCF from the brand licensing activities
- **Indirect value of Ferrari's brand:**
  - Value the excess margin and free cash flows Ferrari has on its cars, compared to other cars of the market or an unbranded car
  - Compare the difference between the EBITDA margin and growth expectations of Ferrari and the average of other auto manufacturers

What Happened?

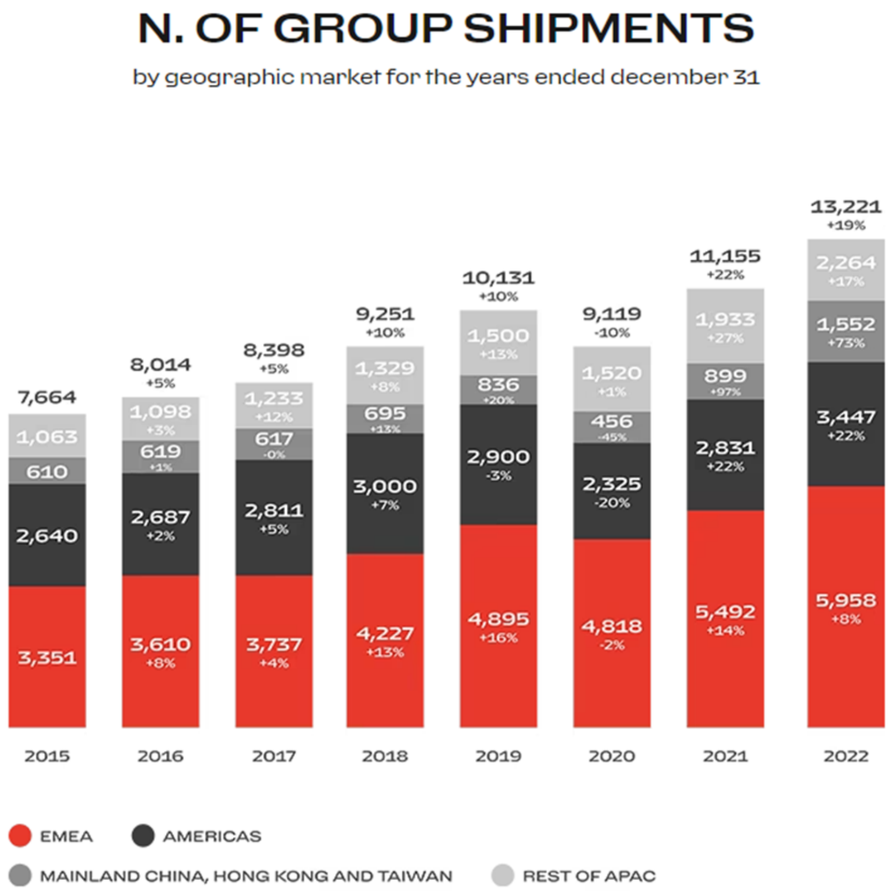
Ferrari's IPO and separation from FCA

- On Tuesday, October, 20, 2015, FCA management and UBS set the price at **$52 per share**. The offer reflected a multiple of over 14 times the expected EBITDA of 2015.
- At the end of the first day of trade, the price settled down at $ 55.
- In January 2016, FCA completed the separation of Ferrari and FCA by distributing all internally owned Ferrari shares to FCA Equity investors on a pro rata basis.
- The separation occurred simultaneously with Ferrari's listing in Milan Stock Exchange.

Post FCA separation

- Ferrari celebrated its 70th anniversary in 2017.
- “Ferrari Land” opened in 2017, located in PortAventura World Resort (Tarragona – Spain) , this is the second Ferrari-themed amusement park, after the “Ferrari World” in Abu Dhabi.
- Chairman Sergio Marchionne died in 2018
- Benedetto Vigna was appointed as Ferrari’s CEO in 2021, and it was a year of great change and success for Ferrari. Benedetto Vigna announced plans to develop Ferrari's first fully electric model.
- After 2021, Ferrari has expanded its production, owing to a global increase in wealth, while becoming more selective with its licensing deals.
- Ferrari unveiled its first full-electric sports car, the **Ferrari Luce**, in February 2026, marking a new, sustainable era for the brand. Pre-orders for the EV begin in March 2026.

Ferrari’s shipments performance



- Ferrari´s **shipments performance was in line with projections until 2017, and outperformed after.**

Ferrari’s revenues performance

- Ferrari revenues performance was as follows:

€M, EXCEPT AS OTHERWISE STATED	FOR THE YEARS ENDED DECEMBER 31,							
	2022	2021	2020	2019	2018	2017	2016	2015
Cars and spare parts[1]	4,341	3,573	2,835	2,926	2,535	2,456	2,180	2,080
Sponsorship, commercial and brand[2]	479	431	390	538	506	494	488	441
Engines[3]	155	189	151	198	284	373	338	219
Other[4]	120	78	84	104	95	94	99	114
Net revenues	**5,095**	**4,271**	**3,460**	**3,766**	**3,420**	**3,417**	**3,105**	**2,854**

- **Ferrari underperformed its net revenues until 2019**, concerning the forecasts.

Ferrari's financial performance

- Ferrari financial performance was as follows:

	2015	2016	2017	2018	2019	2020	2021	2022
Revenues (€ millions)	2 854	3 105	3 417	3 420	3 766	3 460	4 271	5 095
Revenues growth		8,8%	10,0%	0,1%	10,1%	-8,1%	23,4%	19,3%
EBITDA (€ millions)	748	880	1 036	1 114	1 269	1 143	1 531	1 773
EBITDA margin	26,2%	28,3%	30,3%	32,6%	33,7%	33,0%	35,8%	34,8%

- **Ferrari outperformed its EBITDA estimates, with a growing EBITDA margin (always above 25%).** The financial performance in 2021 and 2022 clearly outperformed the initial expectations of the forecasts.

Ferrari Stock Price performance

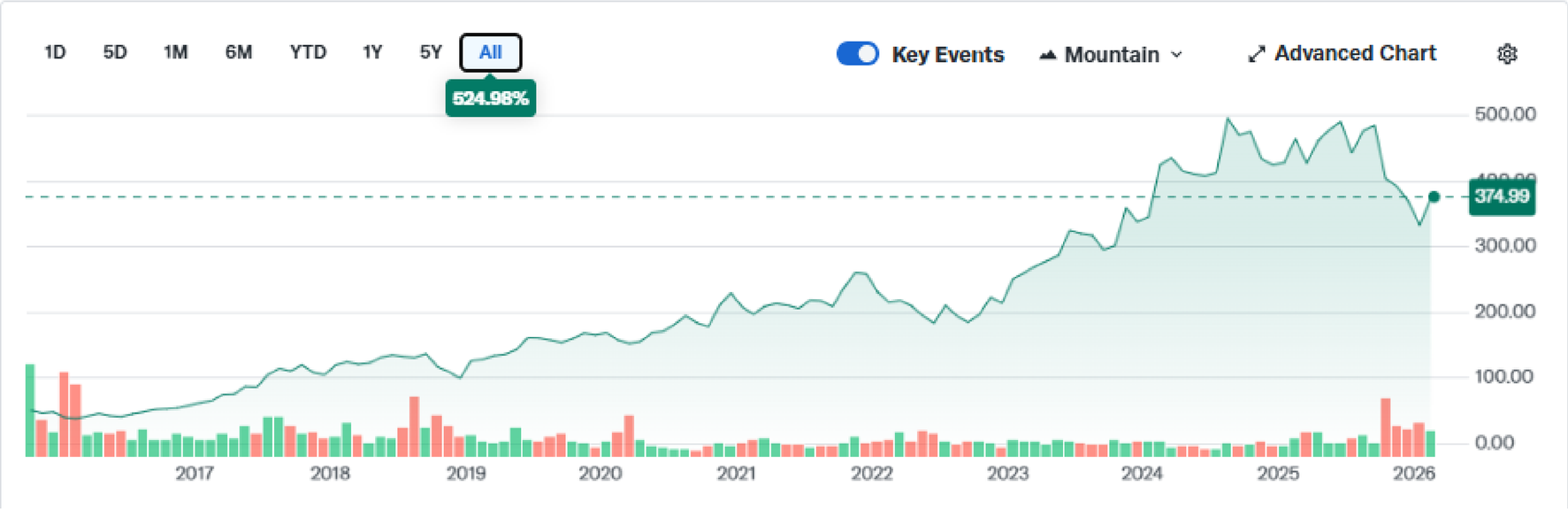
NYSE - Nasdaq Real Time Price • USD

Ferrari N.V. (RACE) ☆ Follow

Is RACE a long-term buy?

374.99 -4.09 (-1.08%) **369.99** -5.07 (-1.35%)

At close: February 17 at 4:00:02 PM EST Pre-Market: 4:59:27 AM EST



Ferrari Stock Price performance vs S&P 500

Race (Ferrari)

S&P 500

Ferrari Stock Price performance vs S&P 500

Race (Ferrari)

Hermés

MSCI ACWI Automobiles and Components Index (ETF)